

Tempus AI, Inc.

TEM NASDAQ

Buy

\$48.61 ▲ 1.59%

12M Price Target
\$68.00

52-Week Range
\$41.73 – \$104.32

Market Cap
\$8.73B

TEM: Beaten Down AI Health Play Near 52-Week Lows

WHAT HAPPENED

- TEM bounced 1.6% to \$48.61 — small move but notable because the stock is sitting at just 11% of its 52-week range (\$41-\$104). Translation: this thing got crushed from \$104 down to the low \$40s and is now trying to find a bottom. The catalyst today was just general healthcare sector strength (+1.4%) plus some Reddit/retail buzz about "10x potential" — not real news.
- The bigger story: CEO Lefkowsky dumped ~\$3.2M in stock at \$46 back on May 27. When the CEO sells at lower prices than today, that's not a confidence signal — but options flow is screaming bullish (Put/Call 0.32, meaning traders are buying 3x more calls than puts).

WHY IT MATTERS

The setup here is classic "hated stock, washed-out price, mixed signals." With the stock down ~55% from highs and now basing in the high \$40s, most of the weak hands are gone — that's why the options market is leaning bullish into a potential bounce. But here's what to think about: TEM operates at the intersection of AI + healthcare + genomics, three areas where the Trump administration's policy stance is genuinely murky. RFK Jr. at HHS has been skeptical of pharma and big health systems, which could either help TEM (by pushing personalized medicine) or hurt them (if reimbursement gets squeezed). The CEO selling at lower prices than today is the yellow flag I can't ignore — insiders rarely sell into weakness unless they need liquidity or aren't expecting a near-term catalyst.

POLICY & POLITICAL WATCH

The big one to watch: CMS (the agency that decides what Medicare pays for) reimbursement rates for genomic sequencing and AI-assisted diagnostics — this is literally how TEM gets paid. The administration's "Make America Healthy Again" framework has been mixed for diagnostics: pro-precision-medicine in rhetoric, but the FY2026 HHS budget includes proposed cuts to NIH research funding that could indirectly hit Tempus's data partnerships with academic medical centers. Also keep an eye on the AI healthcare regulatory framework — the FDA is still finalizing rules on AI/ML-based clinical decision tools, and any clarity here removes a major overhang for TEM's pathology and oncology AI products.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$48.61
12M Price Target	\$68.00
Upside / (Downside)	+39.9%
Market Cap	\$8.73B
FY2026E Revenue	\$1,240M
FY2027E Revenue	\$1,580M
FY2026E EPS	(\$1.45)
FY2027E EPS	(\$0.85)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$55.00	\$49.00	\$42.00
6 Months	\$70.00	\$55.00	\$38.00
1 Year	\$90.00	\$68.00	\$35.00
2 Years	\$130.00	\$85.00	\$30.00
5 Years	\$220.00	\$130.00	\$25.00
10 Years	\$450.00	\$220.00	\$20.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare broadly (+1.4%) and Consumer Staples (+1.9%) — classic defensive rotation, which usually means investors are getting nervous about growth/tech and seeking shelter. That's a mixed signal for TEM since it sits in healthcare but trades like a tech stock.

COOLING OFF: Communication Services down 4% over 5 days — that's mega-cap tech weakness bleeding out, and AI names have been caught in the downdraft.

ROTATION WATCH: Money is moving from high-multiple growth into defensive healthcare and staples — TEM benefits from the healthcare flow but gets hurt by the anti-growth-tech sentiment. Net-net, that's why it's stuck.

RELATED PLAY: If you believe AI healthcare is real, look at peers like Veeva (VEEV) for a profitable version of the trade, or Recursion (RXRX) for an even more speculative AI drug discovery bet.

WHO'S WINNING IN THIS SPACE?

- VEEV (Veeva Systems): Profitable healthcare-tech infrastructure — the "picks and shovels" winner when health systems digitize
- ISRG (Intuitive Surgical): Healthcare innovation that actually makes money — investors are paying up for proven AI/robotics in medicine

TEM CONTEXT: TEM is badly lagging both — it's at 11% of its 52-week range while ISRG and VEEV are near highs. That tells us the market is rewarding profitable healthcare-tech and punishing cash-burning healthcare-tech. For TEM to re-rate, they need to show a clear path to profitability, not just revenue growth.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Cautiously bullish; the price is attractive but insider selling and policy uncertainty keep me from pounding the table.

POSITION SIZE: 2-4% of portfolio — small enough that a 30% drawdown doesn't wreck you, big enough to matter if it doubles.

ENTRY POINTS: Scale in at \$45-48; add aggressively if it tests the \$42 lows on no fundamental news.

TIME HORIZON: 12-24 months — you're waiting for either an earnings inflection or a policy catalyst (CMS reimbursement clarity, FDA AI framework finalization).

WHEN TO BAIL: If revenue growth drops below 25% YoY, if CMS announces reimbursement cuts, or if Lefkowsky sells another \$5M+ block — any of those breaks the thesis.

HEDGING: Pair this with a boring profitable healthcare name like UnitedHealth or the XLV healthcare ETF — that way if the whole sector cracks, you're not naked long a money-loser.